IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/614/CAA/2019
In
CA's/28 - 31/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Of

M/s. EDAC AUTOMATION LIMITED

... Transferor Company - 1

And

M/s. EDAC STAFFING SOLUTION PRIVATE LIMITED

... Transferor Company - 2

And

M/s. TOTALCOMM INFRA SERVICES PRIVATE LIMITED

... Transferor Company - 3

With

M/s. EDAC ENGINEERING LIMITED

... Transferee Company

And

Their respective Shareholders

Order delivered on 8th July, 2019

CORAM

CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Petitioner(s) : *R. Kannan, PCS*
For OL : *B. Palani, Authorized Representative*

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is the Company Petition No.614/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Amalgamation (in short, ***'Scheme'***), *"EDAC Automation Limited"* (hereinafter referred to as ***'Transferor Company – 1'***), M/s. *EDAC Staffing Solution Private Limited,* (hereinafter referred to as ***'Transferor Company – 2'***) M/s. *Totalcomm Infra Services Private Limited* (hereinafter referred to as ***'Transferor Company – 3'***) is proposed to transfer and vest its undertakings with *"M/s. EDAC Engineering Limited"* (hereinafter referred to as ***'Transferee Company'***) as a going concern.

2. The **Transferor Company – 1** is a Company incorporated on 03.03.1993 under the Companies Act, 1956 and having its Registered Office at SPIC House 88, Mount Road, Guindy, Chennai – 600 032.

3. The **Transferor Company - 2** is a Company incorporated on 16.09.2005 under the Companies Act, 1956 and having its Registered Office at SPIC House 88, Mount Road, Guindy, Chennai – 600 032.

4. The **Transferor Company - 3** is a Company incorporated on 23.03.2007 under the Companies Act, 1956 and having its Registered Office at SPIC House 88, Mount Road, Guindy, Chennai – 600 032.

5. The **Transferee Company** is a Company incorporated on 26.06.1987 under the Companies Act, 1956 and having its Registered Office at No. 97, Mount Road, Madras – 600 032.

6. The main object of the Transferor Company – 1 is to establish, construct and maintain advance Automation controls and monitoring systems for marine Aircrafts and offshore, chemical plants, power plants, oil and gas industries and process industries, hotels, restaurants, offices

and dwelling apartments and to carry on the Instrumentations and Automation Repairs, Industrial maintenance contracts, safety systems maintenance contracts and planned shutdown repairs for Refineries and Platforms, etc. The details of the main objects are elaborately set out in the Memorandum of Association of the Transferor Company – 1.

7. The main object of the Transferor Company – 2 is to carry on the business of services in Engineering, procurement, Transportation, Storage, Civil, Construction, Mechanical erection, prefabrication, Field erection, Electrical and Instrument erection, pre-commissioning, commissioning, guarantee runs, operation and maintenance, project management, construction, supervision in the areas of oil refining, petrochemical, chemical fertilizers, power plants, environmental engineering, etc. The details of the main objects are elaborately set out in the Memorandum of Association of the Transferor Company – 2.

8. The main object of the Transferor Company – 3 is to establish and to carry on the business of providing design, project development, infrastructure development and management services to telecommunication industries in India and to erect, construct, operate and maintain power stations, satellite stations, wireless centres in order to facilitate telecommunication industries in Indian by own and/or by joint venture with other companies, etc. The details of the main objects are elaborately set out in the Memorandum of Association of the Transferor Company – 3.

9. The main object of the Transferee Company is to carry on the business of Turn – Key project management and construction contracting including design engineering, supply, prefabrication, transportation, storage, field erection, site fabrication, electrical and instrumentation, assembly, pre commissioning, commissioning, guarantee runs and to revive and revamp the existing facilities in refineries, power plants, gas and oil fields, shipyards, etc. The details of the main

objects are elaborately set out in the Memorandum of Association of the Transferee Company.

10. This Bench vide Order dated 18.01.2019, in CA's/28 to 31/CAA/2019 directed the Transferor and Transferee Companies to convene, hold and conduct the meeting of the Equity Shareholders, Preference Shareholders and Creditors for the purpose of approving the Scheme. The Transferor and the Transferee Companies have also convened the meeting of the equity and preference shareholders on 27.02.2019 and the meeting of the creditors on 28.02.2019 and they have unanimously approved the proposed Scheme without any modification. All the other necessary requirements of the order passed in CA's/28 – 31/CAA/2019 have been fulfilled.

11. The Counsel appearing for the Petitioner Companies has submitted that the rationale and circumstances that have necessitated the present Scheme is that, amalgamation of Transferor Company – 1, Transferor Company – 2 and Transferor Company – 3 with the Transferee Company would

consolidate the business operations and have the benefit of integration of operations, rationalization of administrative, operative and financial costs, avail synergies arising out of consolidation of business such as, enhancement of net worth of the combined business to capitalise on future growth potential, optimal utilization of resources and better administration and cost reduction, efficient management control and system, cost reduction in operations and volume of business improvement. It is further submitted by the Counsel for the Petitioners that no winding up petitions are initiated / pending against the Petitioner Companies and no other investigation or proceedings under the Companies Act, 2013 / 1956 have been instituted or are pending in relation to the Petitioner Companies before any Court in India.

12. The Regional Director (in short, **'RD'**) in his Affidavit dated 13.06.2019 submitted that Clause 11 of Part II of the Scheme has provided protection of the interest of the employees/staff of the Transferor Companies.

13. The RD in para 9 of his report has stated that Clause 5.6 of Part II of the Scheme states that the authorized share capital of the Transferor Companies will be merged with the authorized capital of the Transferee Company and hence prayed that the Transferee Company may be directed to file the amended MOA and AOA with the RoC Chennai for its records. Further, the RD has stated that the Scheme has not stated as to whether the Transferee Company will pay the fee and stamp duty for the enhanced authorized capital. However, as provided under clause (i) to Sub-section (3) of Section 232 of the Companies Act, 2013, the Transferee Company has to pay the fees, if any, for the enhanced authorized capital subsequent to the amalgamation after setting off the fees paid by the Transferor Companies and hence prayed that the Transferee Company may be directed to comply with the above provisions by making an application with the RoC, Chennai for payment of the balance fee as applicable under the provisions of the Act and Rules framed thereunder.

14. In reply to the observation made by the RD, the Transferee Company has filed an affidavit in the shape of an undertaking and stated that the Transferee Company undertakes to comply with the observations and undertakes to pay the fee, if any for the enhanced authorized capital subsequent to the amalgamation after setting off the fees paid by the Transferor Companies in an appropriate manner and will file the requisite forms with the concerned Registrar of Companies. Accordingly, the Transferee Company shall amend the MOA and AOA and file the same with the RoC, Chennai and shall pay the requisite fees as may be required.

15. Further, the RD at para 8 of his affidavit has stated that the Transferor and the Transferee Companies are regular in filing their statutory returns. He has further submitted that no complaints / inspection / investigation or prosecution are pending against the Transferor and Transferee Companies. The RD has not raised any objection with regard to the sanction of the Scheme.

16. The Official Liquidator (In short, **'OL'**) in his Report dated 17.05.2019, submitted that on receiving the copy of the Order dated 18.01.2019 passed in CA's/28 to 31/CAA/2019, he has appointed one Mr. Srinivas, Chartered Accountant, who is one of firm of Chartered Accountants from the panel maintained by his office, to verify the affairs of the Transferor Companies.

17. The Chartered Accountants submitted their report to the OL on 05.04.2019. The OL has stated that the Chartered Accountants have verified the books of accounts and other records of the Transferor Companies.

18. The OL has stated that the Chartered Accountant after examining the files containing correspondence with the Registrar of Companies, nothing adverse or objectionable affecting the interest of the Company or its members or prejudicial to the public interest was noticed. Further the Chartered Accountant have not come across any act of misfeasance by the Directors which would attract provisions

of Section 542/543 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 2013. Further it has been stated that the Transferor Companies are regular in filing tax returns and there are no arrears of disputed and undisputed tax. The OL has not raised any objection.

19. There is no additional requirement for any modification and the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petition is allowed and the Scheme of Amalgamation annexed with the Petition is hereby sanctioned. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Companies involved in this Scheme. The Appointed date of the Scheme is **01.04.2018**.

20. While approving the Scheme as above, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

21. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

22. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

23. The Transferor Companies shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

24. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Companies with that of the Transferee Company and the files relating to the Transferor Companies shall be consolidated with the files and records of the Transferee Company.

25. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

26. Accordingly, the Scheme stands sanctioned and CP/614/CAA/2019 stands disposed of.

-SD-
(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

RAYMOND